

Answer Key

Full answers and workings for Model Questions.md and the "Check yourself" questions in each chapter of notes. All amounts are in RM.

The structured question answers (Level 1 to Level 5) are generated from the Excel answer sheets, so the figures here and in the workbooks always match.

Chapter 8: Irrecoverable Debts and Allowance for Receivables

Multiple choice

Q	Answer	Reason
8.1	B	The expense account is debited; the customer's account is credited to remove the debt.
8.2	B	Prudence: do not overstate the value of trade receivables.
8.3	B	New allowance $30,000 \times 4\% = 1,200$. Change = $1,200 - 1,000 = 200$ increase, an expense.
8.4	C	Irrecoverable debts recovered is other income.
8.5	C	The allowance reduces trade receivables under current assets.

8.6 (4 marks, any two differences, 2 marks each)

- An irrecoverable debt is a **certain** loss. An allowance is an **estimate** of possible losses.
- An irrecoverable debt relates to a **named** customer. An allowance is not linked to any one customer.
- Writing off an irrecoverable debt closes the customer's account. The allowance does not change customer accounts.
- The full irrecoverable debt is an expense. Only the **change** in the allowance goes to the SPL.

8.7 (3 marks)

Date	Particulars	Debit (RM)	Credit (RM)
2025 Mar 1	Irrecoverable debts	750	
	Tomas		750
	<i>(Being debt written off: Tomas declared bankrupt)</i>		

8.8 (Level 1)

a) Prepare the journal entries to write off both debts. (4)

Date	Particulars	Debit (RM)	Credit (RM)
2025 Mar 31	Irrecoverable debts	350	
	Peter		350
	(Being debt written off: customer declared bankrupt)		
Sep 30	Irrecoverable debts	200	
	Jane		200
	(Being debt written off: customer left the country)		

b) Prepare the Irrecoverable debts account for the year, showing the transfer to the income statement. (3)

Dr Irrecoverable Debts Account Cr

Date	Particulars	Folio	Amount (RM)	Date	Particulars	Folio	Amount (RM)
2025 Mar 31	Peter	GJ1	350	2025 Dec 31	Income statement	GJ2	550
Sep 30	Jane	GJ1	200				
			550				550

c) State the effect of the write-offs on profit and on trade receivables. (2)

Item	Answer
Decrease in profit for the year (RM)	550
Decrease in trade receivables (RM)	550

8.9 (Level 2)

a) Calculate trade receivables after writing off Ali's debt. (1)

Item	Answer
Trade receivables after the write-off (RM)	23,200

b) Calculate the allowance for irrecoverable debts. (2)

Item	Answer
Allowance for irrecoverable debts (RM)	1,160

c) Show the Statement of Profit or Loss extract for the year. (2)

Statement of Profit or Loss (extract) for the year ended 31 December 2025

	Particulars	RM	RM	RM
Less:	Expenses			
	Irrecoverable debts		800	
	Allowance for irrecoverable debts (created)		1,160	1,960

d) Show the Statement of Financial Position extract at 31 December 2025. (2)

Statement of Financial Position (extract) at 31 December 2025

	Particulars	RM	RM	RM
		Cost	Accumulated Depreciation	Carrying Amount
	Current assets			
	Trade receivables	23,200		
Less:	Allowance for irrecoverable debts	(1,160)	22,040	

e) Name the accounting concept which explains why the allowance is created. (1)

Item	Answer
Concept	Prudence

8.10 (Level 3)

a) Prepare the journal entries to record the money received from Lucy. (4)

Date	Particulars	Debit (RM)	Credit (RM)
	Lucy	250	
	Irrecoverable debts recovered		250
	<i>(Being debt written off in 2024 reinstated)</i>		
	Bank	250	
	Lucy		250
	<i>(Being cheque received from Lucy)</i>		

b) Calculate the new allowance and the change in the allowance. (2)

Item	Answer
New allowance at 30 June 2026 (RM)	1,040
Increase in the allowance (RM)	140

c) Prepare the Allowance for irrecoverable debts account for the year. (4)

Dr Allowance for Irrecoverable Debts Account Cr

Date	Particulars	Folio	Amount (RM)	Date	Particulars	Folio	Amount (RM)
2026 Jun 30	Balance c/d		1,040	2025 Jul 1	Balance b/d		900
				2026 Jun 30	Income statement	GJ1	140
			1,040				1,040
				2026 Jul 1	Balance b/d		1,040

d) Show the Statement of Profit or Loss extract for the three items above. (3)

Statement of Profit or Loss (extract) for the year ended 30 June 2026

	Particulars	RM	RM	RM
Add:	Other income			
	Irrecoverable debts recovered			250
Less:	Expenses			
	Irrecoverable debts		400	
	Increase in allowance for irrecoverable debts		140	(540)
	Net effect on profit			(290)

e) Show the Statement of Financial Position extract at 30 June 2026. (2)

Statement of Financial Position (extract) at 30 June 2026

	Particulars	RM	RM	RM
		Cost	Accumulated Depreciation	Carrying Amount
	Current assets			
	Trade receivables	26,000		
Less:	Allowance for irrecoverable debts	(1,040)	24,960	

8.11 (Level 4)

a) Calculate the allowance required at the end of each year. (3)

Item	Answer
Allowance at 31 December 2023 (RM)	1,200
Allowance at 31 December 2024 (RM)	1,500
Allowance at 31 December 2025 (RM)	1,050

b) State the amount charged or credited to the Statement of Profit or Loss each year, and whether it is an expense or income. (3)

Item	Answer
Amount to the SPL in 2023 (RM)	1,200
Amount to the SPL in 2024 (RM)	300
Amount to the SPL in 2025 (RM)	450

Item	Answer
2023: expense or income?	Expense
2024: expense or income?	Expense
2025: expense or income?	Income

c) Prepare the Allowance for irrecoverable debts account for the three years. (6)

Dr Allowance for Irrecoverable Debts Account Cr

Date	Particulars	Folio	Amount (RM)	Date	Particulars	Folio	Amount (RM)
2023 Dec 31	Balance c/d		1,200	2023 Dec 31	Income statement	GJ1	1,200
			1,200				1,200
2024 Dec 31	Balance c/d		1,500	2024 Jan 1	Balance b/d		1,200
				2024 Dec 31	Income statement	GJ2	300
			1,500				1,500
2025 Dec 31	Income statement	GJ3	450	2025 Jan 1	Balance b/d		1,500
2025 Dec 31	Balance c/d		1,050				
			1,500				1,500
				2026 Jan 1	Balance b/d		1,050

d) Show the Statement of Financial Position extract for trade receivables at 31 December 2025. (2)

Statement of Financial Position (extract) at 31 December 2025

	Particulars	RM	RM	RM
		Cost	Accumulated Depreciation	Carrying Amount
	Current assets			
	Trade receivables	35,000		
Less:	Allowance for irrecoverable debts	(1,050)	33,950	

8.12 (Level 5)

a) Calculate the correct trade receivables at 31 December 2025. (3)

Item	Answer
Correct trade receivables (RM)	40,300

b) Calculate the allowance required and the change in the allowance. State whether the change is an expense or income. (3)

Item	Answer
Allowance required (RM)	2,015
Change in the allowance (RM)	485

Item	Answer
Is the change an expense or income?	Income

c) Calculate the corrected profit for the year. (4)

Hamid: calculation of corrected profit for the year ended 31 December 2025

	Particulars	RM	RM	RM
	Draft profit			18,000
Less:	Irrecoverable debt written off (Kim)			(1,500)
Add:	Irrecoverable debts recovered			300
Add:	Decrease in allowance for irrecoverable debts			485
	Corrected profit			17,285

d) Prepare the Allowance for irrecoverable debts account for the year. (3)

Dr Allowance for Irrecoverable Debts Account Cr

Date	Particulars	Folio	Amount (RM)	Date	Particulars	Folio	Amount (RM)
2025 Dec 31	Income statement	GJ1	485	2025 Jan 1	Balance b/d		2,500
Dec 31	Balance c/d		2,015				
			2,500				2,500
				2026 Jan 1	Balance b/d		2,015

e) Show the Statement of Financial Position extract for trade receivables. (2)

Statement of Financial Position (extract) at 31 December 2025

	Particulars	RM	RM	RM
		Cost	Accumulated Depreciation	Carrying Amount
	Current assets			
	Trade receivables	40,300		
Less:	Allowance for irrecoverable debts	(2,015)	38,285	

f) Hamid says: "I will make the allowance 20% next year, just to be safe." Evaluate this idea. (3)

For: a bigger allowance is more cautious, so assets and profit are less likely to be overstated.

Against: the allowance must be a reasonable estimate based on past experience. 20% is far above Hamid's real losses, so profit and trade receivables would be understated and the statements would not be reliable. A sudden change also breaks the consistency concept.

Conclusion: keep a realistic rate (about 5%) and change it only when experience of bad debts changes. Prudence means do not overstate; it does not mean understate on purpose.

Check yourself (Chapter 8 notes)

1. Debit Irrecoverable debts RM450, credit the customer's account RM450.
2. New allowance $32,000 \times 2.5\% = 800$. Change $800 - 900 = 100$ decrease. Credit RM100 to the SPL as income.
3. Prudence and accruals (matching).

Chapter 10: Tangible Non-current Assets and Depreciation

Multiple choice

Q	Answer	Reason
10.1	B	Buying a non-current asset is capital expenditure. The others are running costs.
10.2	A	$(25,000 - 5,000) / 5 = 4,000$.
10.3	B	Year 1: $50,000 \times 20\% = 10,000$. Carrying amount 40,000. Year 2: $40,000 \times 20\% = 8,000$.
10.4	B	Carrying amount = $15,000 - 9,000 = 6,000$. Proceeds 5,000. Loss 1,000.
10.5	C	A rise in market price does not reduce the asset's usefulness.

10.6 (4 marks)

- To match the cost of the asset against the revenue it helps earn each year. Concept: **accruals (matching)**.
- To avoid overstating the value of non-current assets and profit. Concept: **prudence**.

10.7 (2 marks)

$2,000 + 800 - 2,100 = \text{RM}700$

10.8 (3 marks)

Reducing balance. A vehicle loses most value in its early years. Repairs are low when it is new and rise as it gets older. High depreciation early plus low repairs, and low depreciation later plus high repairs, spreads the total cost more evenly.

10.9 (Level 1)

a) Calculate the annual depreciation. (2)

Item	Answer
Annual depreciation (RM)	3,000

b) Complete the table. (4)

Year	Depreciation (RM)	Accumulated depreciation (RM)	Carrying amount at end of year (RM)
2024	3,000	3,000	15,000
2025	3,000	6,000	12,000

c) Show the Statement of Financial Position extract for the van at 31 December 2025. (2)

Statement of Financial Position (extract) at 31 December 2025

	Particulars	RM	RM	RM
		Cost	Accumulated Depreciation	Carrying Amount
	Non-current assets			
	Delivery van	18,000	6,000	12,000

d) State one cause of depreciation for a delivery van. (1)

Item	Answer
Cause of depreciation	Wear and tear

10.10 (Level 2)

a) Calculate the cost of the machine to be shown as a non-current asset. (2)

Item	Answer
Cost of the machine (RM)	23,500

b) Classify each item as capital expenditure or revenue expenditure. (5)

Item	Answer
Purchase price	Capital expenditure
Delivery	Capital expenditure
Installation	Capital expenditure
Insurance for the first year	Revenue expenditure
Repair after six months	Revenue expenditure

c) The installation cost was recorded as an expense by mistake. State the effect on profit for the year and on non-current assets. Ignore depreciation. (2)

Item	Answer
Profit for the year is understated by (RM)	900
Non-current assets are understated by (RM)	900

10.11 (Level 3)

a) Calculate depreciation on the machine for 2025 and for 2026. (3)

Item	Answer
Depreciation for 2025 (RM)	900
Depreciation for 2026 (RM)	1,200

b) Calculate the carrying amount of the machine at 31 December 2026. (1)

Item	Answer
Carrying amount at 31 December 2026 (RM)	9,900

c) Prepare the journal entry to record the machine depreciation for 2025. (2)

Date	Particulars	Debit (RM)	Credit (RM)
2025 Dec 31	Income statement (depreciation)	900	
	Provision for depreciation of machinery		900
	<i>(Being depreciation for 9 months at 10% per year on cost)</i>		

d) Calculate the depreciation of loose tools for 2025. (2)

Item	Answer
Depreciation of loose tools (RM)	700

e) Explain why the revaluation method is used for loose tools. (2)

Loose tools are many small, low-cost items. Keeping a record and a depreciation calculation for each tool would take too long and cost more than it is worth. So the tools are counted and valued at each year end instead.

10.12 (Level 4)

a) Calculate the depreciation for 2023, 2024 and 2025. (3)

Year	Carrying amount at start (RM)	Depreciation (RM)	Accumulated depreciation (RM)	Carrying amount at end (RM)
2023	40,000	10,000	10,000	30,000
2024	30,000	7,500	17,500	22,500
2025	22,500	5,625	23,125	16,875

b) Show the carrying amount of the machine at 31 December 2025. (1)

Item	Answer
Carrying amount at 31 December 2025 (RM)	16,875

c) Prepare the Machinery disposal account. (5)

Dr Machinery Disposal Account Cr

Date	Particulars	Folio	Amount (RM)	Date	Particulars	Folio	Amount (RM)
2026 Jan 1	Machinery	GJ1	40,000	2026 Jan 1	Provision for depreciation	GJ1	23,125
				Jan 1	Bank	CB1	15,000
				Dec 31	Income statement (loss on disposal)	GJ2	1,875
			40,000				40,000

d) State where the result of the disposal appears in the financial statements. (1)

Item	Answer
The loss on disposal is shown as	Expense in the SPL

10.13 (Level 5)

a) Calculate the depreciation charge for 2023, 2024 and 2025. (3)

Item	Answer
Depreciation for 2023 (RM)	5,000
Depreciation for 2024 (RM)	11,000
Depreciation for 2025 (RM)	6,000

b) Prepare the Provision for depreciation of vans account for 2023, 2024 and 2025. (6)

Dr Provision for Depreciation of Vans Account Cr

Date	Particulars	Folio	Amount (RM)	Date	Particulars	Folio	Amount (RM)
2023 Dec 31	Balance c/d		5,000	2023 Dec 31	Income statement	GJ1	5,000
			5,000				5,000
2024 Dec 31	Balance c/d		16,000	2024 Jan 1	Balance b/d		5,000
				2024 Dec 31	Income statement	GJ2	11,000
			16,000				16,000
2025 Oct 1	Disposal (Van A)	GJ3	10,000	2025 Jan 1	Balance b/d		16,000
Dec 31	Balance c/d		12,000	2025 Dec 31	Income statement	GJ4	6,000
			22,000				22,000
				2026 Jan 1	Balance b/d		12,000

c) Prepare the Disposal of van account. (4)

Dr Disposal of Van Account Cr

Date	Particulars	Folio	Amount (RM)	Date	Particulars	Folio	Amount (RM)
2025 Oct 1	Vans (Van A)	GJ3	25,000	2025 Oct 1	Provision for depreciation	GJ3	10,000
				Oct 1	Bank	CB1	12,000
				Dec 31	Income statement (loss on disposal)	GJ4	3,000
			25,000				25,000

d) Show the Statement of Financial Position extract for vans at 31 December 2025. (2)

Statement of Financial Position (extract) at 31 December 2025

	Particulars	RM	RM	RM
		Cost	Accumulated Depreciation	Carrying Amount
	Non-current assets			
	Vans (Van B)	30,000	12,000	18,000

e) Kwame wants to change to the reducing balance method in 2026 so his profit looks higher. Advise him, naming the concept involved. (3)

Item	Answer
Concept involved	Consistency

The consistency concept says Kwame should use the same depreciation method every year.

He may change only if the new method gives a fairer view of how the vans lose value, and he must explain the change.

Changing just to make profit look higher would mislead users and stop them comparing this year with earlier years. He should not change.

Check yourself (Chapter 10 notes)

1. Cost = 3,000 + 200 = 3,200. $3,200 / 4 = \text{RM800 per year}$.
2. Year 1: $16,000 \times 25\% = 4,000$, carrying amount 12,000. Year 2: $12,000 \times 25\% = 3,000$, carrying amount **RM9,000**.
3. $4,600 - 4,000 = \text{profit of RM600}$ (proceeds minus carrying amount).

Chapter 11: Accruals and Prepayments

Multiple choice

Q	Answer	Reason
11.1	B	The business owes the money.
11.2	C	$5,200 + 400 = 5,600$.
11.3	A	$2,400 + 500 - 600 = 2,300$.
11.4	C	The business owes the tenant a service (use of the property).
11.5	C	Accruals (matching).

11.6 (2 marks)

The expense is understated by RM600, so profit is **overstated** by RM600. Current liabilities are also understated by RM600.

11.7 (3 marks)

Monthly cost = $4,800 / 12 = 400$. October to December = 3 months.

- Expense = $3 \times 400 = \text{RM1,200}$

- Prepayment = $9 \times 400 = \text{RM}3,600$ (current asset)

11.8 (Level 1)

a) Calculate the rent expense for the year and the amount of rent owing. (2)

Item	Answer
Rent expense for the year (RM)	9,600
Rent owing at 31 December 2025 (RM)	800

b) Calculate the insurance expense for the year. (1)

Item	Answer
Insurance expense for the year (RM)	1,500

c) State where the rent owing and the insurance prepaid appear in the Statement of Financial Position. (2)

Item	Answer
Rent owing	Current liabilities (other payables)
Insurance prepaid	Current assets (other receivables)

d) Name the concept which requires these adjustments. (1)

Item	Answer
Concept	Accruals

11.9 (Level 2)

a) Prepare the Electricity account for the year. Show the balance carried down and brought down. (4)

Dr Electricity Account Cr

Date	Particulars	Folio	Amount (RM)	Date	Particulars	Folio	Amount (RM)
2025 Mar	Bank	CB1	600	2025 Dec 31	Income statement	GJ1	2,230
Jun	Bank	CB1	550				
Sep	Bank	CB1	500				
Dec 31	Balance c/d		580				
			2,230				2,230
				2026 Jan 1	Balance b/d		580

b) Prepare the Insurance account for the year. Show the balance carried down and brought down. (4)

Dr Insurance Account Cr

Date	Particulars	Folio	Amount (RM)	Date	Particulars	Folio	Amount (RM)
2025 Jul 1	Bank	CB1	2,400	2025 Dec 31	Income statement	GJ1	1,200
				Dec 31	Balance c/d		1,200
			2,400				2,400
2026 Jan 1	Balance b/d		1,200				

c) Show the amounts in the Statement of Financial Position at 31 December 2025. (2)

Statement of Financial Position (extract) at 31 December 2025

	Particulars	RM	RM	RM
		Cost	Accumulated Depreciation	Carrying Amount
	Current assets			
	Other receivables (insurance prepaid)		1,200	
Less:	Current liabilities			
	Other payables (electricity owing)		580	

11.10 (Level 3)

a) Calculate the rent income for 2025 and the amount received in advance. (2)

Item	Answer
Rent income for 2025 (RM)	7,200
Rent received in advance (RM)	600

b) Prepare the Rent receivable account for the year. (4)

Dr Rent Receivable Account Cr

Date	Particulars	Folio	Amount (RM)	Date	Particulars	Folio	Amount (RM)
2025 Dec 31	Income statement	GJ1	7,200	2025	Bank	CB1	7,800
Dec 31	Balance c/d		600				
			7,800				7,800
				2026 Jan 1	Balance b/d		600

c) Calculate the commission income for 2025. (1)

Item	Answer
Commission income for 2025 (RM)	2,450

d) Show the other receivables and other payables in the Statement of Financial Position. (2)

Statement of Financial Position (extract) at 31 December 2025

	Particulars	RM	RM	RM
		Cost	Accumulated Depreciation	Carrying Amount
	Current assets			
	Other receivables (commission due)		350	
Less:	Current liabilities			
	Other payables (rent received in advance)		600	

e) State the effect on profit if Sam forgot to adjust for the rent received in advance. (1)

Item	Answer
Profit would be overstated by (RM)	600

11.11 (Level 4)

a) Calculate the amount for the Statement of Profit or Loss for wages, rates and commission receivable. (3)

Item	Answer
Wages expense (RM)	18,150
Rates expense (RM)	1,550
Commission receivable income (RM)	3,250

b) Prepare the Wages account for the year, showing the balance carried down. (5)

Dr Wages Account Cr

Date	Particulars	Folio	Amount (RM)	Date	Particulars	Folio	Amount (RM)
2025-26	Bank	CB1	18,000	2025 Apr 1	Balance b/d		300
2026 Mar 31	Balance c/d		450	2026 Mar 31	Income statement	GJ1	18,150
			18,450				18,450
				2026 Apr 1	Balance b/d		450

c) Calculate the total of other receivables and other payables in the Statement of Financial Position at 31 March 2026. (2)

Item	Answer
Other receivables: rates prepaid + commission due (RM)	500
Other payables: wages owing (RM)	450

11.12 (Level 5)

a) Calculate the correct amount for the Statement of Profit or Loss for insurance, rent, wages and rent received. (5)

Item	Answer
Insurance expense (RM)	3,450
Rent expense (RM)	13,200
Wages expense (RM)	21,250
Rent received: income for 2025 (RM)	3,700

b) Calculate the corrected profit for the year. Show each adjustment. (5)

Tariq: calculation of corrected profit for the year ended 31 December 2025

	Particulars	RM	RM	RM
	Draft profit			32,000
Add:	Insurance: cash paid less expense			150
Less:	Rent: expense less cash paid			(200)
Less:	Wages: expense less cash paid			(250)
Less:	Rent received: cash less income			(800)
Add:	Unused stationery			120
	Corrected profit			31,020

c) Calculate other receivables and other payables for the Statement of Financial Position. (4)

Item	Answer
Other receivables: insurance prepaid + unused stationery (RM)	1,020
Other payables: rent owing + wages owing + rent received in advance (RM)	1,350

d) Prepare the Insurance account for the year. (4)

Dr Insurance Account Cr

Date	Particulars	Folio	Amount (RM)	Date	Particulars	Folio	Amount (RM)
2025 Jan 1	Balance b/d		750	2025 Dec 31	Income statement	GJ1	3,450
Apr 1	Bank	CB1	3,600	Dec 31	Balance c/d		900
			4,350				4,350
2026 Jan 1	Balance b/d		900				

Check yourself (Chapter 11 notes)

1. $24,000 + 800 = \text{RM}24,800$.
2. $1,500 / 15 = 100$ per month. 3 months belong to next year. Prepayment = **RM300**.
3. Current liabilities (other payables).

Chapter 12: Fundamental Accounting Principles and Concepts

Name the concept

Q	Concept
12.1	Business entity
12.2	Historical cost
12.3	Consistency
12.4	Materiality
12.5	Realisation
12.6	Money measurement
12.7	Duality
12.8	Going concern
12.9	Accruals (matching)
12.10	Prudence

12.11 (3 marks)

Prudence means assets and profits should not be overstated, and liabilities and losses should not be understated. Losses are recorded as soon as they are likely; profits are recorded only when earned. Example: creating an allowance for irrecoverable debts, or valuing inventory at the lower of cost and net realisable value.

12.12 (3 marks)

Going concern assumes the business will continue trading for the foreseeable future, so assets are shown at cost less depreciation. If the business were **not** a going concern, assets would be shown at the amount they would raise if sold now (often much lower).

12.13 (4 marks, any two)

- **Relevance:** the information helps users make decisions and is available in time.
- **Reliability:** the information is free from errors and bias and can be checked.
- **Comparability:** it can be compared with earlier years and other businesses.
- **Understandability:** it is clear to users with reasonable knowledge.

12.14 (3 marks)

$NRV = 1,800 - 300 = 1,500$. Cost = 2,000. Lower of cost and NRV = **RM1,500**. Concept: **prudence**.

12.15 (Level 1)

a) to e) Choose the concept for each statement. (5)

Item	Answer
a) The business is treated as separate from its owner.	Business entity
b) Assets are recorded at the price paid for them.	Historical cost
c) Every transaction affects two accounts.	Duality
d) Only items with a money value are recorded.	Money measurement
e) The same methods are used from one year to the next.	Consistency

f) Name one quality that makes accounting information useful. (1)

Item	Answer
One quality of useful information	Any one: Relevance, Reliability, Comparability, Understandability

12.16 (Level 2)

a) The owner paid for a family holiday with a business cheque. It was recorded as drawings.

Item	Answer
Concept	Business entity

The holiday is a private expense of the owner. The business is separate from the owner, so the payment is drawings, not a business expense.

b) Goods were sold on credit on 29 December 2025 and paid for on 5 January 2026. The sale was recorded in 2025.

Item	Answer
Concept	Realisation

Revenue is recorded when the goods pass to the customer (29 December 2025), not when the cash is received.

c) A waste bin costing RM8 was recorded as an expense, although it will last for years.

Item	Answer
Concept	Materiality

RM8 is too small to affect any user's decision. Treating it as a non-current asset and depreciating it is not worth the effort.

d) Premises bought for RM80,000 are now worth RM120,000. They are still shown at RM80,000.

Item	Answer
Concept	Historical cost

Assets are recorded at the price paid. Cost is objective and backed by documents; the RM120,000 is only an estimate.

12.17 (Level 3)

a) Calculate the value of each item and the total value of closing inventory. (4)

Item	Net realisable value (RM)	Value used for inventory (RM)
A	1,700	1,200
B	750	750
C	2,200	2,000
D (damaged)	250	250
Total closing inventory		4,200

b) The trader had valued all inventory at cost. State the effect of your correct valuation on gross profit. (2)

Item	Answer
Gross profit falls by (RM)	500

c) Name the concept used and explain why it applies. (2)

Item	Answer
Concept	Prudence

Prudence: inventory is valued at the lower of cost and net realisable value. The expected losses on items B and D are recorded now, so assets and profit are not overstated.

12.18 (Level 4)

a) She changed her depreciation method from straight line to reducing balance this year. She plans to change back next year to make her profit look steady.

Item	Answer
Concept not followed	Consistency

Why: switching methods to smooth profit makes the years impossible to compare and misleads users.

Correct treatment: choose the method that suits the asset and use it every year. Change only for a good reason and explain the change.

b) She recorded the repayment of her personal car loan as a business expense.

Item	Answer
Concept not followed	Business entity

Why: the car loan is the owner's private debt, not the business's.

Correct treatment: record the payment as drawings.

c) She included in 2025 revenue an order received on 28 December 2025 for goods to be delivered in February 2026.

Item	Answer
Concept not followed	Realisation

Why: the goods have not passed to the customer, so the revenue has not been earned.

Correct treatment: record the sale in February 2026 when the goods are delivered.

d) She did not record December electricity of RM400 because the bill had not been paid.

Item	Answer
Concept not followed	Accruals

Why: the electricity was used in 2025, so it is a 2025 expense even though it is unpaid.

Correct treatment: add RM400 to the electricity expense and show RM400 in other payables (current liabilities).

e) She increased the value of premises from cost of RM100,000 to a market value of RM150,000 and added the RM50,000 to profit.

Item	Answer
Concept not followed	Historical cost

Why: premises must stay at cost. The RM50,000 gain has not been earned by a sale (prudence and realisation also apply).

Correct treatment: keep premises at RM100,000 and do not add RM50,000 to profit.

12.19 (Level 5)

a) Calculate net assets on the going concern basis (book values). (3)

Item	Answer
Total assets, going concern basis (RM)	129,400
Net assets, going concern basis (RM)	96,400

b) Calculate net assets if the business closes. (3)

Item	Answer
Total assets if the business closes (RM)	123,500
Net assets if the business closes (RM)	90,500

c) Explain why the two figures are different. Name the concept involved. (3)

Item	Answer
Concept	Going concern

Going concern assumes the business will continue, so assets are shown at cost less depreciation because they will be used, not sold. If the business closes, assets must be valued at what they would raise now.

Equipment and inventory sold quickly fetch much less, so net assets fall by RM5,900.

d) While the business continues trading, premises must stay at RM80,000 even though they are worth RM95,000. Name two concepts that support this. (2)

Item	Answer
First concept	Historical cost
Second concept	Prudence

e) Name two users of the financial statements who would be interested in these figures, and give a reason for each. (2)

Any two, with a reason:

Owner: to decide whether to close or keep trading.

Bank or lender: to see whether the RM25,000 loan will be repaid.

Suppliers (trade payables): to see whether they will be paid.

Employees: to judge whether their jobs are safe.

Check yourself (Chapter 12 notes)

1. Business entity.
2. Consistency.
3. $NRV = 1,500 - 100 = 1,400$. Cost = 1,200. Value at the lower: **RM1,200**.

Statement of Profit or Loss and Statement of Financial Position

Multiple choice

Q	Answer	Reason
FS.1	B	Delivery costs to customers are an expense.
FS.2	C	Drawings reduce the owner's capital.
FS.3	A	$5,000 + 30,000 - 1,000 + 500 - 6,000 = 28,500$.
FS.4	C	It is repayable on demand.
FS.5	B	$18,000 - 7,500 = 10,500$.

FS.6 (Level 1)

a) Prepare the Statement of Profit or Loss for the year, as far as gross profit. (6)

Lina's Shop

Statement of Profit or Loss (extract) for the year ended 31 December 2025

	Particulars	RM	RM	RM
	Revenue			60,000
Less:	Sales returns			(1,000)
	Net revenue			59,000
Less:	Cost of sales			
	Opening inventory		4,500	
Add:	Purchases	38,000		
Less:	Purchases returns	(800)		
Add:	Carriage inwards	500	37,700	
	Cost of goods available for sale		42,200	
Less:	Closing inventory		(5,200)	(37,000)
	Gross profit			22,000

b) Explain why carriage inwards is included in cost of sales. (1)

Carriage inwards is the cost of bringing purchased goods into the business. It is part of the cost of buying the goods, so it belongs in cost of sales.

FS.7 (Level 2)

a) Prepare the Statement of Financial Position at 31 December 2025. (8)

Omar

Statement of Financial Position at 31 December 2025

	Particulars	RM	RM	RM
		Cost	Accumulated Depreciation	Carrying Amount
	Non-current assets			
	Premises	50,000	-	50,000
	Motor vehicle	15,000	5,000	10,000
	Total non-current assets	65,000	5,000	60,000
	Current assets			
	Inventory		6,000	
	Trade receivables		7,500	
	Bank		2,300	
	Cash		200	
	Total current assets		16,000	
Less:	Current liabilities			
	Trade payables		4,800	
	Total current liabilities		4,800	
	Net current assets (working capital)			11,200
				71,200
Less:	Non-current liabilities			
	Loan (repayable 2029)			(10,000)
	Net assets			61,200
	Financed by:			
	Capital at start of year			55,000
Add:	Profit for the year			14,200
				69,200
Less:	Drawings			(8,000)
	Capital at end of year			61,200

b) State the working capital. (1)

Item	Answer
Working capital (RM)	11,200

c) Explain the difference between a current liability and a non-current liability. (2)

A current liability must be paid within 12 months, for example trade payables. A non-current liability is repayable after more than 12 months, for example a loan repayable in 2029.

FS.8 (Level 3)

a) Prepare the Statement of Profit or Loss for the year ended 31 December 2025. (10)

Nadia's Crafts**Statement of Profit or Loss for the year ended 31 December 2025**

	Particulars	RM	RM	RM
	Revenue			52,000
Less:	Cost of sales			
	Opening inventory		3,000	
Add:	Purchases		30,000	
	Cost of goods available for sale		33,000	
Less:	Closing inventory		(3,500)	(29,500)
	Gross profit			22,500
Less:	Expenses			
	Wages		8,000	
	Rent		4,800	
	Insurance		1,000	
	General expenses		900	
	Depreciation: fixtures		1,000	(15,700)
	Profit for the year			6,800

b) Prepare the Statement of Financial Position at 31 December 2025. (10)

Nadia's Crafts**Statement of Financial Position at 31 December 2025**

	Particulars	RM	RM	RM
		Cost	Accumulated Depreciation	Carrying Amount
	Non-current assets			
	Fixtures	10,000	3,000	7,000
	Current assets			
	Inventory		3,500	
	Trade receivables		5,000	
	Other receivables (insurance prepaid)		200	
	Bank		2,600	
	Total current assets		11,300	
Less:	Current liabilities			
	Trade payables		3,100	
	Other payables (rent owing)		400	
	Total current liabilities		3,500	
	Net current assets (working capital)			7,800
	Net assets			14,800
	Financed by:			
	Capital at start of year			14,000
Add:	Profit for the year			6,800
				20,800
Less:	Drawings			(6,000)
	Capital at end of year			14,800

FS.9 (Level 4)

a) Prepare the Statement of Profit or Loss for the year ended 30 June 2026. (16)

Ben's Bikes

Statement of Profit or Loss for the year ended 30 June 2026

	Particulars	RM	RM	RM
	Revenue			82,000
Less:	Sales returns			(800)
	Net revenue			81,200
Less:	Cost of sales			
	Opening inventory		6,200	
Add:	Purchases	45,000		
Less:	Purchases returns	(900)		
Add:	Carriage inwards	400	44,500	
	Cost of goods available for sale		50,700	
Less:	Closing inventory		(7,100)	(43,600)
	Gross profit			37,600
Add:	Other income			
	Rent received		2,200	
	Decrease in allowance for irrecoverable debts		140	2,340
				39,940
Less:	Expenses			
	Wages		12,600	
	Electricity		2,550	
	Insurance		1,200	
	Advertising		1,200	
	Irrecoverable debts		350	
	Depreciation: motor vehicles		3,600	
	Depreciation: fixtures		800	(22,300)
	Profit for the year			17,640

b) Prepare the Statement of Financial Position at 30 June 2026. (14)

Ben's Bikes

Statement of Financial Position at 30 June 2026

	Particulars	RM	RM	RM
		Cost	Accumulated Depreciation	Carrying Amount
	Non-current assets			
	Motor vehicles	24,000	9,600	14,400
	Fixtures	8,000	2,800	5,200
	Total non-current assets	32,000	12,400	19,600
	Current assets			
	Inventory		7,100	
	Trade receivables	9,000		
Less:	Allowance for irrecoverable debts	(360)	8,640	
	Other receivables (insurance prepaid)		400	
	Bank		3,150	
	Total current assets		19,290	
Less:	Current liabilities			
	Trade payables		5,300	
	Other payables (electricity owing + rent in advance)		450	
	Total current liabilities		5,750	
	Net current assets (working capital)			13,540
	Net assets			33,140
	Financed by:			
	Capital at start of year			23,000
Add:	Profit for the year			17,640
				40,640
Less:	Drawings			(7,500)
	Capital at end of year			33,140

FS.10 (Level 5)

a) Prepare the Disposal account. (4)

Dr Disposal Account Cr

Date	Particulars	Folio	Amount (RM)	Date	Particulars	Folio	Amount (RM)
2026 Mar 31	Equipment	GJ1	5,000	2026 Mar 31	Bank	CB1	1,500
				Mar 31	Provision for depreciation	GJ1	3,000
				Mar 31	Income statement (loss on disposal)	GJ2	500
			5,000				5,000

b) Prepare the Statement of Profit or Loss for the year ended 31 March 2026. (18)

Kofi Traders

Statement of Profit or Loss for the year ended 31 March 2026

	Particulars	RM	RM	RM
	Revenue			98,000
Less:	Sales returns			(1,200)
	Net revenue			96,800
Less:	Cost of sales			
	Opening inventory		7,400	
Add:	Purchases	54,000		
Less:	Purchases returns	(1,000)		
Add:	Carriage inwards	700	53,700	
	Cost of goods available for sale		61,100	
Less:	Closing inventory		(8,100)	(53,000)
	Gross profit			43,800
Add:	Other income			
	Discount received		650	
	Commission received		1,450	2,100
				45,900
Less:	Expenses			
	Wages		15,500	
	Rent and rates		5,800	
	Electricity		2,400	
	Carriage outwards		900	
	Discount allowed		350	
	Irrecoverable debts		850	
	Increase in allowance for irrecoverable debts		80	
	Depreciation: equipment		3,200	
	Loss on disposal		500	
	Loan interest		480	(30,060)
	Profit for the year			15,840

c) Prepare the Statement of Financial Position at 31 March 2026. (16)

Kofi Traders

Statement of Financial Position at 31 March 2026

	Particulars	RM	RM	RM
		Cost	Accumulated Depreciation	Carrying Amount
	Non-current assets			
	Premises	40,000	-	40,000
	Equipment	25,000	12,200	12,800
	Total non-current assets	65,000	12,200	52,800
	Current assets			
	Inventory		8,100	
	Trade receivables	13,600		
Less:	Allowance for irrecoverable debts	(680)	12,920	
	Other receivables (prepaid + commission due)		750	
	Cash		150	
	Total current assets		21,920	
Less:	Current liabilities			
	Trade payables		8,200	
	Other payables (electricity + loan interest)		780	
	Bank overdraft		1,800	
	Total current liabilities		10,780	
	Net current assets (working capital)			11,140
				63,940
Less:	Non-current liabilities			
	Loan (repayable 2029)			(8,000)
	Net assets			55,940
	Financed by:			
	Capital at start of year			50,100
Add:	Profit for the year			15,840
				65,940
Less:	Drawings			(10,000)
	Capital at end of year			55,940

Check yourself (Financial Statements notes)

1. $5,000 + 30,000 - 1,000 + 500 - 6,000 = \text{RM}28,500$.
2. $18,000 - 7,500 = \text{RM}10,500$.
3. $40,000 + 12,000 - 9,000 = \text{RM}43,000$.